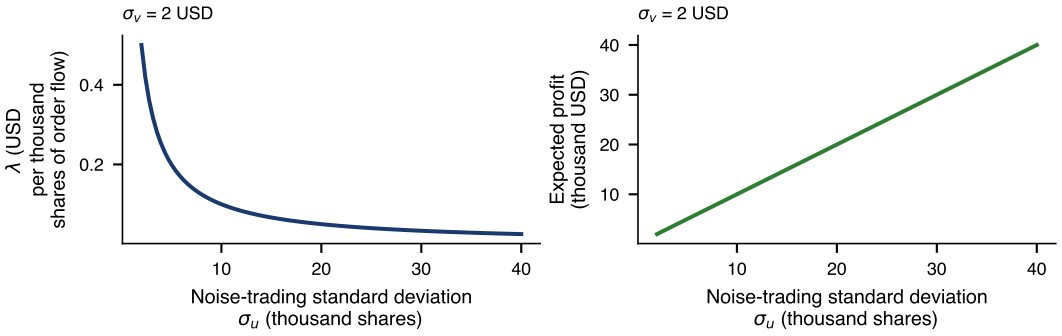
σ_v = 2 USD
λ (USD per thousand shares of order flow)
0.4
0.2
10
20
30
40
Noise-trading standard deviation σ_u (thousand shares)
σ_v = 2 USD
Expected profit (thousand USD)
40
30
20
10
10
20
30
40
Noise-trading standard deviation σ_u (thousand shares)
Price impact $\lambda = \sigma_v/(2\sigma_u)$
Expected profit of the insider $\sigma_v\sigma_u/2$